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Judgment Sheet

IN THE LAHORE HIGH COURT,

BAHAWALPUR BENCH, BAHAWALPUR

Judicial Department

R. F. A. No. 100 of 2018 / BWP

Rana Abid Hussain and two others

Versus

National Highway Authority and three others

R. F. A. No. 113 of 2018 / BWP

National Highway Authority and three others

Versus

Rana Abid Hussain and two others

JUDGMENT

Date of Hearing:	07.10.2021
Appellant(s) By:	Malik Imtiaz Mehmood Awan, Advocate
Respondent(s) By:	Malik Muhammad Tariq Rajwana, Advocate Syed Mudassar Hussain Naqvi, Advocate

ABID HUSSAIN CHATTHA, J: This consolidated Judgment shall decide R. F. A. No. 100 / 2018 / BWP instituted by the Appellants and cross R. F. A. No. 113/ 2018 / BWP filed by National Highway Authority (the "**NHA**") under Section 54 of the Land Acquisition Act, 1894 (the "**Act**") directed against the impugned Judgment and Decree dated 19.04.2018 passed by the Senior Civil Judge, Rahim Yar Khan, whereby, the Reference of the Appellants under Section 18 of the Act was partially accepted and the fair compensation of the acquired land was enhanced from Rs. 3,750/- per Marla (Rs. 600,000/- per Acre) to Rs. 10,000/- per Marla (Rs. 1,600,000/- per Acre) along with additional compensation @ 15% per annum of the above fixed compensation and compound interest @ 8% per annum from the date of the Notification under Section 4 of the Act to the date of payment of compensation.

2. Facts necessary for the decision of the titled Appeals are that the Appellants were owners-in-possession of land measuring 39 Kanals 15 Marlas in Khata No. 196/96, Khatooni No. 580 to 581 out of total Khata measuring 584 Kanals 10 Marlas as per Register of Record of Rights for the year 2010-2011 situated at Revenue Estate Shedani Sharif, Tehsil Liaquatpur, District Rahim Yar Khan (the "**Property**"). The Property was acquired at the instance of the NHA for public purpose in connection with the construction of Karachi-Lahore Motorway, Multan to Sukkur Section. Acquisition proceedings were initiated through issuance of the Notification dated 19.07.2014 under Section 4 of the Act culminating into an award bearing No. AC/LAC/713-721 dated 17.12.2015 (the "**Award**"). The Appellants assailed the Award by filing the Reference averring therein that they received inadequate compensation under protest. The Property was acquired without notice to the Appellants and the Award was rendered without hearing their objections thereon. The District Price Assessment Committee (the "**DPAC**") prepared an erroneous report regarding the value of the Property without physical verification and examining sale Mutations of concerned and adjoining Revenue Estates to ascertain its market and potential value. The Property was erroneously categorized as purely agricultural, whereas, in essence it was commercial and residential in nature being situated on both sides of Khan Bela Malkani Road and close proximity to two cities. The location was so perfect that the NHA had selected the Property to establish its toll collection area. Important Government and private installations were present nearby the Property including Government College, Rest House of Irrigation Department, Malkani City Petrol Pump and many residential colonies. The aforesaid features were not taken into account which clearly demonstrate that the Property had suitability and potential for multiple commercial ventures. As such, the Board of Revenue endorsed the recommendations of the DPAC in a mechanical manner without conscious and judicious application of mind. Consequently, the Award was arbitrary, unilateral and confiscatory rendered in complete oblivion to the peculiar location and special features inextricably linked to the Property resulting in extremely low compensation. As such, the market value and potential value was determined without adopting due process of law. Besides, it was also contended that the Appellants had also not been compensated with respect to the standing sugarcane crop on the Property. Accordingly, the Appellants claimed fair and adequate price of the Property to the tune of Rs. 1,000,000/- per Marla coupled with the price of standing crop of sugarcane with compound interest @ 8% and compulsory acquisition charges @ 15% from the date of the Notification till its payment.

3. Conversely, the NHA controverted the Reference on both legal and factual plane. It was asserted that the Reference was liable to be rejected under Order VII, Rule 11 of the Code of Civil Procedure, 1908 (the "**CPC**") being barred by time. It was contended that the entire proceedings of acquisition culminating into pronouncement of the Award were conducted in accordance with the provisions of the Act. The Appellants were associated with the proceedings from its very inception. Adequate compensation was determined by the DPAC and endorsed by the Board of Revenue, Punjab. The Appellants have received their due compensation without protest and as such, are estopped from their words and conduct to question the quantum of compensation awarded in the Award through the Reference which is liable to be dismissed.

4. The Referee Court out of the divergent pleadings of the parties, framed the following issues:

i) Whether the compensation assessed in the impugned Award, the subject matter of this Reference, is inadequate? If so, what is fair compensation of the acquired land for the Petitioners? OPA

ii) Whether the instant Reference under Section 18 of the Land Acquisition Act, 1894 is not maintainable in its present form and the same is liable to be dismissed? OPR

iii) Whether the instant Reference under Section 18 of the Land Acquisition Act, 1894 is badly time barred? OPR

iv) Whether the Petitioners have received the compensation without protest, hence, the instant Reference is liable to be dismissed? OPR

v) Whether the Petitioners have no cause of action and locus-standi to file the instant Reference? OPR

vi) Relief.

5. In order to establish their case, the Appellants produced two witnesses, AW-1 & AW-2. AW-1 was one of the Appellants who held special power of attorney on behalf of two other Appellants while AW-2 was the concerned Patwari of the Revenue Estate. The respective affidavits of the AW's were produced and exhibited. The Appellants also produced sale Mutations (Exhibits A-3 to A-5, A-7 to A-15 and A-18). The site plan of Revenue Estate, Shedani Sharif was exhibited as Exhibit A-6. The NHA, in rebuttal produced Naib Tehsildar as RW-1 and tendered documents including the Award, Report of the DPAC, the Notifications dated 28.05.2015 and 16.07.2015, sale Mutations (Exhibit R-9 to R-18) and Khasra Girdawari 2011 to 2015 (Exhibit R-19).

6. Learned counsel for the Appellants, *inter alia*, contended that average sale price of transactions taking place before publication of the Notification is merely one of the modes for ascertaining the market value and not an absolute yardstick to determine the amount of compensation; the potential value and status of land was required to be determined with reference to the possibility of development and improvement factors which were not given due consideration by the Referee Court; the principle, "gold for gold and not copper for gold" was violated; the test as to what the willing purchaser would have paid to the willing seller was not employed; the Property was possessed forcibly without due and adequate compensation in violation of the settled law with respect to compulsory acquisition by the State; the market value in the intervening period from the date of the Notification under Section 4 of the Act i.e. with effect from 19.07.2014 to the pronouncement of the Award dated 17.12.2015 was not taken into account; the devaluation of Pakistani Rupee was altogether ignored; oral evidence was given preference over documentary evidence against the express provisions of the Qanun-i-Shahadat Order, 1984; the NHA failed to justify the amount assessed in the Award by producing Mutations on the basis of which one year average price was calculated by the DPAC; the evidence on the basis of which the Land Acquisition Collector pronounced the Award escaped the notice of the Referee Court; the peculiar location of the Property having potential of conversion into residential and commercial property was not given due weight; the effect of existence of commercial properties within the close vicinity of the Property in terms of its potential value was not appreciated; irreparable loss was caused to the Appellants through the acquisition, whereby, the compact block of the Property had been divided into four parts; the observations of the Referee Court with reference to non-conversion of agriculture land into commercial was misplaced; the Referee Court erred by not awarding even average price of the Mutations tendered in evidence; compensation regarding destruction of standing sugarcane crops on the Property at the time of acquisition was declined despite evidence on record; documentary evidence tendered by the Appellants was sufficient to prove their stance; and accordingly, the Appellants were entitled to modification of the impugned Judgment and Decree by way of enhancement of compensation regarding the Property as prayed for in the Reference. Reliance was placed on cases titled, "Secretary Communication and Works Department Government of Balochistan and others v. Dad Bakhsh and another" (**2013 CLC 343**); "Sardar Muhammad Ashraf (deceased) through LRs. and others v. Government of N.W.F.P. (now KPK) through Collector and others" (**2011 SCMR 1244**); "Nisar Ahmad Sabri through L.Rs. and others v. Government of Punjab through Secretary, Labour Department and others" (**2015 YLR 2095**); and "Land Acquisition Collector, National Highway Authority, Lahore and another v. Javed Malik and others" (**2009 SCMR 634**).

7. Learned counsel for the NHA submitted that the Reference was barred by time in terms of Section 18(2)(a) of the Act and the Referee Court erred in rejecting the application under Order VII, Rule 11 of the CPC since it was established that the Appellants were served with notice (Exhibit R-1) and they personally appeared in acquisition proceedings with reference to their objections. The Appellants failed to discharge the onus to prove issue No. 1 regarding award of inadequate compensation but the compensation was enhanced to an exorbitant rate without any lawful justification. The Award was rendered after physical inspection of the Property, examination of relevant revenue record and taking into account the nature, location and market value of the Property. The price was assessed by the DPAC and duly endorsed by the Board of Revenue. As such, the Award was passed strictly in accordance with the provisions of the Act. The maximum rate of compensation was awarded to the Appellants. The Trial Court did not appreciate that the Award was announced by the Land Acquisition Collector independently without any influence of the NHA. The project was for the welfare of the public and the Property was required in national interest. The Property was neither residential nor commercial in character which was admitted by the Appellants in their evidence as per the deposition of AW-1. The Referee Court declared its finding to this effect yet enhanced compensation without any cogent reasoning. The assessment of value of the Property in huge chunk i.e. measuring 39 Kanals and 15 Marlas could not be based on comparative price of sale transactions of land in small proportions since it is a universal phenomenon that small residential and commercial plots are much more valuable than that of agricultural land. Hence, enhancement of compensation by considering sale price of Mutations of 1, 2 or 3 Marlas was not relevant to determine the fair value of the Property. In contrast, Exhibit R-9 and R-10 indicate that agricultural land similarly placed was being sold in the year 2008-2009 for Rs. 300,000/- per Acre, approximately. Hence, the Trial Court was only required to consider the value of identical agricultural land regarding the relevant period since Rule 10(iii)(c) of the Punjab Land Acquisition Rules, 1983 binds the Trial Court to consider the prevailing average market price of similar kind and location of land during the period of twelve months preceding the date of publication of the Notification under Section 4 of the Act. Further, Section 28-A of the Act was not applicable in the Province of Punjab and 8% compound interest ought not to have been given from issuance of the Notification under Section 4 of the Act. Accordingly, sufficient documentary evidence tendered by the NHA was not evaluated by the Trial Court in its true perspective and there was no occasion to enhance the compensation of the Property after the Appellants received it without any objection. As such, the impugned Judgment and Decree was passed in an arbitrary manner without application of conscious and judicious mind which is liable to be set aside for misreading and non-reading of evidence on record. Reliance was placed on cases titled, "Lahore Ring Road Authority and others v. Mian Mumtaz Ahmad and others" (**2021 CLC 178**); "Muhammad Yaqoob through Legal Heirs v. Land Acquisition Collector (M-4) National Highway Authority and 4 others" (**PLD 2021 Lahore 364**); "Manzoor Hussain (deceased) through L.Rs. v. Misri Khan" (**PLD 2020 Supreme Court 749**); "Mian Ahmad Raza and 2 others v. Karim Bakhsh through L.Rs. and others" (**2007 SCMR 1595**); "Government of Sindh and 2 others v. Muhammad Usman and 2 others" (**1984 CLC 3406**); "Muhammad Akram and another v. Mst. Farida Bibi and others" (**2007 SCMR 1719**); "Muhammad Rafique Awan v. The Land Acquisition Collector, National Highway Authority and 4 others" (**2021 MLD 766**); "Dilawar Hussain and others v. Province of Sindh and others" (**PLD 2016 Supreme Court 514**); "Liyar Khan v. Land Acquisition Collector/A.C., Swabi" (**2003 YLR 3287**); "Khanma Bi and 9 others v. Collector Land Acquisition, Mangla Dam Raising Project, Mirpur and another" (**2018 MLD 1764**); "Land Acquisition Collector (M-1) National Highway Authority Islamabad and 4 others v. Zahir Shah and 5 others" (**2016 YLR 2462**); "Government of N.W.F.P. and others v. Akbar Shah and others" (**2010 SCMR 1408**); "National

Highway Authority through Chairman and 2 others v. Bashir Ahmad and 2 others" (**2018 CLC Note 63**); "Kolkata Metropolitan Development Authority and another v. Gobinda Chandra Makal and another" (**2012 SCMR 1201 [India]**); "Civil Aviation Authority through Project Director and others v. Rab Nawaz and others" (**2013 SCMR 1124**); "Hyderabad Development Authority through M.D., Civic Centre, Hyderabad v. Abdul Majeed and others" (**PLD 2002 Supreme Court 84**); "Special Land Acquisition Officer v. Maharani Biswal and others" (**2012 SCMR 1179 [India]**); "Sh. Faqir Muhammad v. Land Acquisition Collector and others" (**2011 MLD 1308**); and "Abdul Ahad and 19 others v. Government of Balochistan through Secretary C &W and others" (**2017 MLD 1276**).

8. Arguments heard. Record perused.

9. The primary issue involved in these Appeals is confined to the determination of fair market and potential value of the Property. However, before proceeding further, it is pertinent to address issues No. 2 to 5 regarding maintainability of the Reference. Burden of proof regarding the said issues was placed upon the NHA. RW-1 appeared on behalf of the NHA and deposed that the Appellants were given prior notice in acquisition proceedings which was served upon one of the Appellants, hence, the Reference was barred by limitation. In rebuttal, AW-1 categorically stated that the Appellants were not given any notice and written objections were not sought from them. The Trial Court found that the Reference filed on 30.05.2016 was within the prescribed period of limitation of six months reckoned from the date of Award passed on 17.12.2015 in view the law laid down in case titled, "Anwar-ul-Haq Chaudhary v. District Officer (Revenue), Narowal and 4 others" (**2017 CLC 66**), wherein, it was held that once the Collector had made a Reference in terms of Section 18 of the Act, the Court would not be competent to go beyond the Reference to see as to whether the Reference was within the time prescribed in the proviso to Section 18 of the Act. Since Land Acquisition Collector sent the Reference to the

Referee Court on 06.06.2016, therefore, the Trial Court concluded that the Reference was within time. Further, the notice (Exhibit R-1) was generalized in nature which did not depict the names of all the Appellants. The same was not confronted to the Appellants and as such, was not *per se* admissible. Even otherwise, the Trial Court has aptly relied upon the aforesaid Judgment to hold that the Reference was not barred by limitation and there is no occasion to take any exception thereto. Moreover, RW-1 in his examination-in-chief deposed that compensation was accepted without objection by the Appellants at the time of the Award but during cross-examination he candidly admitted that the words "under protest" are written on the affidavits of the Appellants regarding receiving of compensation. It was also admitted that the Appellants received the compensation after filing of the instant Reference under protest. In this respect, the Trial Court aptly relied upon the case titled, "Zardad Khan and others v. Government of N.W.F.P. and others" (**1987 SCMR 1387**) to conclude that the filing of the Reference itself would signify that receiving of compensation amount by the Appellants was 'under protest'. Accordingly, the issues No. 2 to 5 were rightly decided in favour of the Appellants and against the NHA.

10. Moving on to the pivotal issue of determination of adequate compensation, AW-1, an Appellant in his examination-in-chief fully corroborated the facts pleaded in the Reference. He deposed that the relevant revenue record and the sale Mutations were not taken into consideration. The concerned Patwari and other Revenue Officers were not heard. He exhibited and cited several sale Mutations to prove that the fixed amount of compensation in the Award bears no co-relation with the prevalent market value of the Property at the relevant time. The market price of the Property was Rs. 1,000,000/- per Marla, whereas, the same was determined only as Rs. 3,750/- per Marla. The pertinent facts and figures regarding the market and potential value of the Property as pleaded in the Reference were highlighted in terms of its location, compactness and existence of nearby commercial ventures to prove that the Appellants are entitled for enhancement of the price assessed. He further asserted that the Appellants were also entitled for compensation regarding price of their sugarcane crops @ Rs. 200/- per maund with average rate of cane crop @ 1000 maunds per Acre.

11. AW-2, the concerned Patwari of the Revenue Estate testified that he had seen the Property. He affirmed that the total land of the Khata No. 196 consisted of 584 Kanals and 10 Marlas which stretches from Malkani City up to Shedani City. Koreja Market is present in the concerned Khata. Prior to the initiation of China Pakistan Economic Corridor (CPEC), a road from Khan Bela to Malkani City was passing through the Property which was situated on both sides of the said road. He importantly testified that Malkani City and Shedani City are situated at 01 K.M. distance from the Property. Land adjacent to the Property was being used for commercial purposes as it was situated in Malkani and Shedani Sharif Cities. He also corroborated the pleadings of the Appellants with respect to the existence of Petrol Pump on the Khan Bela to Malkani Road and High School within a distance of 02 Squares from the said road. He submitted copies of relevant Mutations as well as site plan of the Property. He deposed that he was in possession of the departmental record which includes affidavits of the Appellants submitted before the Assistant Commissioner, Liaquatpur and stated that the Appellants received the compensation under protest.

12. On the other hand, RW-1, the Naib Tehsildar, Liaquatpur was produced by the NHA who stated that the Property was agricultural in nature. He primarily supported the version of the NHA and deposed that the acquisition of the Property was undertaken after giving prior notice and the Appellants were aware of the same. He stated that the Property was at a distance of 1½ K.M. from Shedani City. Neither any shop of the Appellants was available on the Property nor that of any other person in close proximity to the Property. The land of many other persons was also acquired but none of them filed any Reference. He testified that the price assessed by the DPAC duly approved by the Board of Revenue was adequate and fair. He exhibited documentary evidence on behalf of the NHA to substantiate market value of the Property at the relevant time.

13. The privilege to acquire, hold and dispose of the Property is a fundamental right guaranteed under Articles 23 & 24 by the Constitution of the Islamic Republic of Pakistan, 1973 (the "**Constitution**") which emphatically declares that no person shall be deprived from his property save in accordance with law and without adequate compensation. Section 23 of the Act spells out various factors to be considered for determining market and potential value of the Property. The Apex Court of the country in view of unflinching dictate of the Constitution that citizens subject to compulsory acquisition of their properties are adequately compensated has consistently endeavored to liberally interpret the provisions of the Act. The law is now well developed that adequate compensation is not merely restricted to market value at the relevant time but also includes future potential value of the Property. The escalation in price during the period consummated from the date of the Notification under Section 4 of the Act till the pronouncement of Award is also a relevant consideration. Even valuation of adjacent or nearby properties can be analyzed to reach a fair and just price. Reliance is placed on cases titled, "Province of Punjab through Collector, Attock v. Engr. Jamil Ahmad Malik and others" (**2000 SCMR 870**); "Land Acquisition Collector, G.S.C., N.T.D.C. (WAPDA), Lahore and another v. Mst. Surraya Mehmood Jan" (**2015 SCMR 28**); "Province of Punjab through Land Acquisition Collector and another v. Begum Aziza" (**2014 SCMR 75**); "Fazal Haq College through Vice-Chairman v. Said Rasan and others" (**PLD 2003 Supreme Court 480**); and "Province of Sindh through Collector of District Dadu and others v. Ramzan and others" (**PLD 2004 Supreme Court 512**).

14. Irrefutable evidence was available to establish that the Property was situated on both sides of Khan Bela to Malkani Road. Khan Bela and Malkani are towns of Tehsil Liaquatpur, District Rahim Yar Khan. The Property was located between two towns of Shedani and Malkani which are commercial and residential in character. Even the concerned Khata had a cluster of densely populated area with multiple Government and private ventures including Petrol pump, High School and Police Station Shedani. The Property was not more than 1½ K.M. from this point. The presence of emerging residential colonies was also established. Evidence on record unequivocally demonstrated that the Property though was being used for agricultural purposes yet had assumed all the characteristics and features of commercial or residential Property. The potential value of the Property was much more than being extracted at the time of acquisition on account of its peculiar location in terms of its presence on the road and its closeness to two cities. The mere fact that the Appellants had not converted the Property from agricultural to commercial status is an irrelevant consideration to determine the potential value of the Property. The Appellants were not required to do so and had every right to hold and enjoy the Property in the manner they so desire. The fact that most of the sale Mutations brought on record consisted of small portions of land manifestly demonstrates that land in the area was a precious and scarce commodity being located close to two cities. Therefore, such sale Mutations of small portions of land were not completely out of context and cannot be ignored altogether when transactions of bigger holdings were not available. This is especially so when the Property had the potential of conversion into smaller residential or commercial units as was evident from the fact of emerging residential colonies and existence of a host of commercial ventures in close vicinity of the Property. Moreover, it was an admitted fact that the Property was a sizable chunk and existed as a compact block before acquisition. It was established that the Property was divided into parts in consequence of acquisition, thereby, adversely affecting its value and impairing its future potential.

Nevertheless, this particular negative impact on the Property may have been compensated or off-set to some extent on account of overall price escalation due to the project itself but the damage caused to the Property through acquisition was vividly evident. In view of the above, the elements of potential value as well as damage to the Property by virtue of acquisition were duly proved. Reliance is placed on cases titled, "Special Land Acquisition Officer and another v. M.K. Rafiq Saheb" (**2012 SCMR 1140 [India]**); "Air Weapon Complex through DG v. Muhammad Aslam and others" (**2018 SCMR 779**); and "Government of Pakistan through Military Estate Officer, Abbottabad and another v. Ghulam Murtaza and others" (**2016 SCMR 1141**).

15. In order to further appreciate the evidence on record and to determine fair market and potential value of the Property at the relevant time, it would be beneficial to list below the comparative prices of the properties as depicted from the Mutations exhibited by the parties:

MUTATIONS PRODUCED BY THE APPELLANTS

Sr. No.	Exhibit	Mutation No.	Khata No.	Date of Mutation	Transaction Area & Price	Rate / Marla in Rupees
1.	A-3	4011	196	24.12.2014	10 ¾ Marlas 300,000/-	27,907
2.	A-4	4030	196	30.01.2015	47 ½ Marlas 2,000,000/-	42,105
3.	A-5	4010	196	24.12.2014	1 Marla 400,000/-	400,000/-
4.	A-7	3844	196	26.01.2013	1 ½ Marlas 100,000/-	66,667/-
5.	A-8	3852	196	08.02.2013	12 Marlas 300,000/-	25,000/-
6.	A-9	3907	196	02.12.2013	1 Marla 200,000/-	200,000/-
7.	A-10	3912	196	02.12.2013	6 Marlas 100,000/-	16,667/-
8.	A-11	3921	196	04.03.2014	4 Marlas 300,000/-	75,000/-
9.	A-12	3952	196	08.04.2014	10 Marlas 200,000/-	20,000/-
10.	A-13	3884	308	27.06.2013	10 Marlas 100,000/-	10,000/-
11.	A-14	3956	230	08.04.2014	48 Marlas 6,100,000/-	127,083/-
12.	A-15	3843	196	26.01.2013	1½ Marlas 100,000/-	66,667/-

MUTATIONS PRODUCED BY THE NHA

Sr. No.	Exhibit	Mutation No.	Khata No.	Date of Mutation	Transaction Area & Price	Rate / Marla in Rupees
1.	R-9	3479	194	10.07.2008	1360 Marlas 2,500,000/-	1,838/-
2.	R-10	3536	194	17.07.2009	240 Marlas 200,000/-	833/-
3.	R-11	3996	196	23.09.2014	2 Marlas 10,000/-	5,000/-
4.	R-12	4006	230	24.12.2014	1 Marla 10,000/-	10,000/-
5.	R-13	4007	230	24.12.2014	1 Marla 10,000/-	10,000/-
6.	R-14	4050	102	24.03.2015	100 Marlas 150,000/-	1500/-
7.	R-15	4056	295	24.03.2015	200 Marlas 400,000/-	2000/-
8.	R-16	3920	196	25.03.2014	7 Marlas 30,000/-	4,286/-
9.	R-17	4054	196	24.03.2015	3 Marlas 30,000/-	10,000/-
10.	R-18	3959	308	08.04.2014	40 Marlas 75,000/-	1,875/-

16. Analysis of the above tables clearly indicate that market value of the Property was much higher than awarded in the Award or by the Referee Court. Sale Mutations exhibited by the Appellants for the year 2013 to 2014 regarding the same Khata range from Rs. 16,667/- to Rs. 400,000/- per Marla. Seven Mutations of Rs. 66,667/-; 25,000/-; 200,000/-; 16,667/-; 75,000/-; 20,000/-; and 66,667/- more or less depict the normal range of price in fair arm's length transactions between a willing purchaser and a willing seller in the same Khata before the date of the Notification under Section 4 of the Act. Conversely, sale Mutations exhibited by the NHA regarding the same Khata for the year 2013 to 2014 range from Rs. 4,286/- to Rs. 5,000/-. However, the NHA could not produce more than three Mutations of the concerned Khata and was constrained to exhibit sale Mutations from other Khatas without proof of their relevance. Even third Mutation of the concerned Khata showing price of Rs. 10,000/- per Marla was attested after the date of the Notification under Section 4 of the Act but before the date of the Award. The NHA could exhibit only one sale

Mutation of Rs. 4,286/- per Marla from the relevant Khata which preceded the date of publication of the Notification under Section 4 of the Act. Therefore, the documentary evidence of the NHA was not of any relevance or help to this Court to arrive at the fair market or potential value of the Property. The average sale price per Marla of the sale Mutations at serial Nos. 4 to 9 and 12 produced by the Appellants as well as sale Mutation at serial No. 8 produced by the NHA is arrived at Rs. 60,000/- per Marla approximately by discarding the rest of the sale Mutations being irrelevant having located in different Khatas without proof of relevance or pertaining to irrelevant period. However, the above price is required by be proportionately discounted in view of price of sale Mutations recorded in small portions of land, most of the sale Mutations being apparently with respect to residential or commercial properties, wastage of the Property when converted into developed land for future use and considering that the Property though being located close to two cities yet was not adjacent thereto and at a distance of at least of 1½ K.M from the cities. Balancing the pro and contra evidence of the parties to the *lis* as discussed above in the light of factors stipulated in Section 23 of the Act and settled principles of compulsory acquisition of land enunciated by the Apex Court, we are inclined to apply 70% deduction or discounting factor in aggregate to the average sale price determined above. The potential value of the Property and impact of its division is incorporated in the above formula. Accordingly, the fair market and potential value of the Property is settled at Rs. 18,000/- per Marla. However, the claim of compensation regarding standing sugarcane crop is dropped for insufficient evidence.

17. In view of the above discussion, R. F. A. No. 113 / 2018 / BWP filed by the NHA is **dismissed** with no order as to costs. R. F. A. No. 100 / 2018 / BWP is partially **accepted** and the impugned Judgment and Decree dated 19.04.2018 passed by the Senior Civil Judge, Rahim Yar Khan is modified in the manner that the fair compensation of the Property is enhanced to **Rs. 18,000/-** per Marla along with entitlement to additional compensation @ 15% per annum of the above fixed compensation and compound interest @ 8% per annum from the date of possession of the Property till the date of payment of compensation with costs of the Appeal. Decree Sheet be drawn, accordingly.

(ANWAARUL HAQ PANNUN)
JUDGE

(ABID HUSSAIN CHATTHA)
JUDGE

Approved For Reporting

JUDGE

WaqaR